

TAX-FREE RUN

The largest recipients...

- World Vision of India, Tamil Nadu. **Rs 256 crore**
- Caritas India, Delhi. **Rs 193 crore**
- Rural Development Trust, Andhra Pradesh. **Rs 127 crore**
- Church's Auxiliary for Social Action, Delhi. **Rs 96 crore**
- Plan International Inc, Delhi. **Rs 92 crore**
- Saifee Hospital Trust, Maharashtra. **Rs 86 crore**
- Mata Amritanandamayi Math, Kerala. **Rs 85 crore**
- Believers Church India, Kerala. **Rs 77 crore**
- Sri Sathya Sai Central Trust, Andhra Pradesh. **Rs 72 crore**

THE AXE EFFECT

... among those banned

- Islamiya College, Kozhikode
- Saraswati Charitable Trust, Delhi
- Association Madras Church of Christ, Chennai
- Iqra Education Society, Jalgaon
- Jammu and Kashmir Muslim Conference, Srinagar
- Anjumane Hussamia Educational Association, Hyderabad
- Vikash Parishad, Koraput, Orissa
- Jameah Rashidiyah Trust, Surat
- Jamai Atul Falah, Azamgarh

quartered in Delhi.

Although all recipients are categorised as social, cultural, economic, educational or religious, there are very few who actually list themselves under the religious category. Sources say that in absence of a streamlined Foreign Contributions (Regulation) Act (FCRA), the ministry had problems in taking action against the doubtful organisations. The FCRA, 1976, has become outdated and needed to be strengthened. More of a national security legislation, the FCRA is weak on issues like tracking the source and utilisation of foreign donations. To replace it with a provision with more teeth, a Foreign Contributions (Regulation) Bill, 2006, was framed but it is still to replace the FCRA. After much delay and going

of the Bill uncertain, the Foreigners' Division, in the meantime, is trying to do the best it can. "The reported foreign contributions of Rs 7,000 crore are just the tip of the iceberg. An equal amount of money, if not more, could be going unreported since half the organisations have failed to submit their records for scrutiny."

What's worse is that nearly 9,000 NGOs have not submitted their account books for the past three years. All that the ministry can do is put the perennial defaulters on a prior permission list which means that they have to seek its permission every time before accepting a foreign donation. "If they want their names to be off the list, they will have to show all their account books. They will be properly scrutinised and

“It is aimed at checking activities of unscrupulous elements in the garb of welfare schemes.”



PRANAB MUKHERJEE, EXTERNAL AFFAIRS MINISTER

through a Group of Ministers, headed by the home minister, it was introduced in the Rajya Sabha. But instead of being cleared, it was sent to the Parliamentary Standing Committee of the Home Ministry. And that is where it remains. But BJP MP Sushma Swaraj, who heads the committee, told INDIA TODAY that the panel's deliberations were complete and the report was almost final.

According to External Affairs Minister Pranab Mukherjee, the Bill was aimed at checking "activities undertaken by unscrupulous elements in the garb of overt welfare schemes and projects". The Government is keen to ensure, he explained, that associations engaged in anti-national and illegal activities are weeded out, and at the same time, genuine NGOs engaged in developmental and welfare work are not harassed. However, with the future

only if they are in perfect order will their names be cleared," the official said. Names of another 24 organisations were added to the long prior permission list. These include Abul Kalam Azad Islamic Awakening Centre of much-in-the-news Jamia Nagar in Delhi. The most stringent action that the ministry could take in the given circumstances was to ban organisations from accepting funds forever, or report some organisations to the CBI for a detailed inquiry. The MHA has reported 17 outfits to the CBI. In its present form, the FCRA does not even have the authority to regulate bank accounts. It is proposed in the new Bill that an institution be allowed to have only one bank account—declared to the Government—to receive foreign donations. It could be allowed more accounts only to disburse the amount for various projects. A long haul is just beginning. ■